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SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

26STCV04081

SAMANTHA

NUSSBAUM, AN INDIVIDUAL, et al. vs CITY OF LOS ANGELES, A MUNICIPAL CORPORATION, et al.

September

4, 2026

8:30

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NATURE OF PROCEEDINGS:

HEARING TO RECONSIDER THE COURT'S JUNE 24, 2026 ORDER DENYING WEINGART CENTER ASSOCIATION'S MOTION TO STRIKE.

RULING:

This Court complies with the Alternative Writ by selecting alternative (a) and providing the Court of Appeal with a copy of its Minute Order setting forth such compliance.

The Court vacates the June 24, 2026, order denying the Motion to Strike, and redetermines the Motion without reliance on a finding that the provisions of Code of Civil Procedure section 425.17 apply.

Upon reconsideration, the Motion to Strike is granted, without leave to amend.

Defendants Weingart Center Association and Weingart HK Shelby LLC to give notice.

I.

BACKGROUND

On February 6, 2026, SAMANTHA NUSSBAUM and HOWARD GROSSMAN (Plaintiffs) filed a Complaint against CITY OF LOS ANGELES; LOS ANGELES HOUSING DEPARTMENT; CALIFORNIA DEPARTMENT OF HOUSING AND COMMUNITY DEVELOPMENT; KAREN BASS; WEINGART CENTER ASSOCIATION; WEINGART HK SHELBY LLC; and KEVIN MURRAY (Defendants).

On April 17, 2026, Plaintiffs filed the First Amended Complaint (FAC), listing Causes of Action for:

1.

TAXPAYER ACTION FOR WASTE, ILLEGAL EXPENDITURE OF PUBLIC FUNDS, AND CONFLICTS OF INTEREST;

2.

FRAUD AND INTENTIONAL MISREPRESENTATION;

3.

NEGLIGENT MISREPRESENTATION;

4.

EQUITABLE RELIEF – VOIDABLE CONTRACTS;

5.

DECLARATORY RELIEF;

6.

WRIT OF MANDATE (CCP §1085);

7.

INJUNCTIVE RELIEF – ULTRA VIRES AND ILLEGAL ACTS.

Plaintiffs allege that they

seek to stop or suspend continued misuse of approximately \$58 million in public funds committed to the acquisition and conversion of 3340 Shelby Drive, Los Angeles, involving a prior eviction of senior residents of Terraza of Cheviot Hills, after governmental and private misrepresentations to Plaintiffs and other local residents that the facility would be drug-free, alcohol-free, occupied by people age 55 and older.

On August 24, 2026, Plaintiffs

filed the “Opposition to Motion for Reconsideration on the Weingart Defendants’ Special Motion to Strike (CCP Section 425.16).”

On August 28, 2026,

Defendants Weingart Center Association and Weingart HK Shelby LLC filed their “Response to Plaintiffs’ Opposition Regarding Redetermination or the Special Motion to Strike (CCP § 425.16).”

II.

LEGAL STANDARD

Moving parties have the

initial burden to demonstrate that a cause of action is subject to a special motion to strike. (Martinez v. Metabolife Inter. Ins. (2003) 113 Cal.App.4th 181, 186; Fox Searchlight Pictures Inc. v. Paladino (2001) 89 Cal.App.4th 294, 304.)

In order to determine if

there was any conduct in furtherance of the exercise of the constitutional

right of petition or right of free speech in connection with a public issue or one of public interest (Code Civ. Proc., § 425.16, subd. (e)(4)), courts ask (1) what public issue or issue of public interest is implicated by the activity, (2) what is the functional relationship between the activity and the public communicating about the issue, and (3) whether the activity contributes to public discussion of that issue. (Geiser v. Kuhns (2022) 13 Cal.5th 1238, 1249.)

If moving parties

successfully have shifted the burden, then opposing parties must demonstrate a probability of prevailing on the merits of the complaint. (Equilon Ent., LLC v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 67; Matson v. Dvorak (1995) 40 Cal.App.4th 539, 548.) A court need not reach the second prong of the SLAPP analysis if the first prong [arising from protected conduct] was not satisfied. (Wang v. Wal-Mart Real Estate Business Trust (2007) 153 Cal.App.4th 790, 801.) “[A]n action may not be dismissed under this statute if the plaintiff has presented admissible evidence that, if believed by the trier of fact, would support a cause of action against the defendant.” (Taus v. Loftus (2007) 40 Cal.4th 683, 729.) “The plaintiff need only establish that his or her claim has ‘minimal merit’...to avoid being stricken as a SLAPP.” (Soukup v. Law Offices of Herbert Hafif (2006) 39 Cal.4th 260, 291.) The opposing parties’ burden as to an anti-SLAPP motion is like that of a party opposing a motion for summary judgment. (E.g., DaimlerChrysler Motors Co. v. Lew Williams, Inc. (2006) 142 Cal.App.4th 344, 352.)

Courts cannot allow leave

to amend pleadings when granting SLAPP motions. (E.g., Premier Med. Mgt. Systems, Inc. v. Cal. Ins. Guar. Ass’n (2006) 136 Cal.App.4th 464, 476. But see Nguyen-Lam v. Cao (2009) 171 Cal.App.4th 858, 873 [as to SLAPP motions, courts may permit plaintiff to amend complaint to conform to proof showing a probability of prevailing].)

III.

ANALYSIS

Defendants initially brought

the Motion to Strike, as to the Second and Third Causes of Action, on grounds that those arise from communications about a publicly funded interim-housing

facility that is a public controversy. Defendants added that Plaintiffs cannot establish a probability that they will prevail, because:

1.

The alleged misrepresentations concern the future operation of an unopened facility, not actionable misstatements of past or existing fact.

2.

One of the alleged misrepresentations—statements attributed to Councilmember Yaroslavsky—is not attributable to Weingart.

3.

Plaintiffs cannot establish falsity of the challenged statements.

4.

Plaintiffs cannot establish the required state of mind under either fraud or negligent misrepresentation standards.

5.

Plaintiffs cannot establish actual or justifiable reliance on the challenged statements.

6.

Plaintiffs cannot establish causation or recoverable fraud damages.

As for step 1 of the SLAPP analysis, in opposition to reconsideration, Plaintiffs argue that this Court can redetermine that Defendants' misrepresentations are not protected speech, under Code of Civil Procedure section 425.17. (Opposition, 4:1-15.) In support, Plaintiffs reference Plaintiff SAMANTHA NUSSBAUM's Declaration disclaiming intent to obtain any personal gain. (Ibid., 5:14-20.)

Regarding step 2,

Plaintiffs contend that, "Plaintiffs' claims comfortably clear the 'minimal merit' threshold,..." (Opposition, 4:23-24.) Plaintiffs had originally filed several declarations by Plaintiffs and their neighbors, and voluminous exhibits, as

evidence the elements of Fraud, including that they relied upon Defendants' oral and written assurances, by being induced to forbear opposition to the project, and thereby lost their ability to oppose it sooner and more effectively, without risking the complete loss of that capability.

1. Step

1

The

Court disagrees that it can redetermine the Motion as to Step 1, after the Alternative Writ's tentative ruling, which directed a redetermination without reliance on a finding that the provisions of Code of Civil Procedure section 425.17 apply. "A failure to follow appellate directions can be challenged by an immediate petition for writ of prohibition or writ of mandate." (Butler v. Superior Court (2002) 104 Cal.App.4th 979, 982.)

The directions in the Alternative Writ, filed on July 21, 2026, are as follows:

"The court has read and considered the petition for writ of mandate filed July 13, 2026. The court tentatively concludes the exemption pursuant to Code of Civil Procedure section 425.17, subdivision (b) does not apply because real parties in interest's complaint seeks forms of relief (e.g., compensatory damages) that is greater than or different from the relief sought for the general public or a class of which real parties in interest are members. (People ex rel. Strathmann v. Acacia Research Corp. (2012) 210 Cal.App.4th 487, 499.)

Therefore, after hearing the parties' positions on the matter pursuant to Brown, Winfield & Canzoneri v. Superior Court (2010) 47 Cal.4th 1233, 1250, footnote 10, you are ordered to either:

(a)

vacate your June 24, 2026, order denying the motion to strike and redetermine the motion without reliance on a finding that the provisions of Code of Civil Procedure section 425.17 apply; or

(b) show

cause before this court in its courtroom at 300 South Spring Street, Los

Angeles, California, 90013, on November 4, 2026, why a peremptory writ ordering you to do so should not issue.

The
return to the petition shall be filed on or before August 18, 2026.

The reply
to the return, if any, shall be filed on or before September 15, 2026.

If you
comply with this writ by selecting alternative (a) above, you are directed to provide this court with a copy of your minute order setting forth such compliance. Petitioners shall also provide this court with a copy of any such minute order upon receipt. Respondent court proceedings are stayed."

Concerning Step 1 of the SLAPP analysis, this Court follows the tentative conclusion that the exemption, pursuant to Code of Civil Procedure section 425.17, subdivision (b), is inapplicable.

Therefore,
the Court does not reconsider the following issues:

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Whether complaints are exempt from the
SLAPP statute, under Code of Civil Procedure section 425.17, subdivision (b), if it would benefit the public, as determined by examining the complaint type and prayer, to ascertain whether it seeks to vindicate public policy goals, without getting into evidence. (Tourgeman
v. Nelson & Kennard (2014) 222 Cal.App.4th 1447, 1463.)

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Whether, in determining the first step, Plaintiff's
Declaration, disclaiming personal recovery, may be considered. (All One God Faith, Inc. v. Organic and Sustainable Industry Standards, Inc. (2010) 183 Cal.App.4th 1186, 1200.)

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Whether under Code of Civil Procedure
section 425.17(b), the public interest exception does not apply if any part of the complaint seeks relief to directly benefit the plaintiff, greater than, or different from, relief sought on behalf of the general public. (Lindsay

v. Patenaude & Felix APC (2024) 107 Cal.App.5th 335, 345.)

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Whether the public interest exception of the SLAPP statute applies, or the FAC requests the same relief on behalf of Plaintiffs and the general public, without Plaintiffs seeking any relief greater than or different from that relief. (E.g., FAC, pp. 55-56 (Prayer for Relief).)

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Whether the FAC requests the same relief on behalf of Plaintiffs and the general public, where Prayer paragraph 9 states: "Compensatory damages according to proof...." and paragraph 177, specifies that property value loss would be part of a calculation of damages that would be unique to only Plaintiffs, by stating, "reduction in the value of their real property attributable to the operation of a facility on the represented terms as compared with a facility operated on the actual terms governing the Project. Plaintiffs will prove the amount of damages at trial."

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Whether the FAC requests the same relief on behalf of Plaintiffs and the general public, where the FAC references similar impacts upon neighbors. (E.g., FAC, ¶198 ("Plaintiffs have standing to seek declaratory relief as taxpayers whose municipal and state funds are at risk, as residents of the street on which the Property is located whose neighborhood is directly affected by the Project's operation,...").)

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Whether the FAC requests the same relief on behalf of Plaintiffs and the general public, as held in *People ex rel. Strathmann v. Acacia Research Corp.* (2012) 210 Cal.App.4th 487, 499, 503 ["Strathmann did not allege he suffered any injury for which relief could be granted."].)

So, the Court proceeds to a redetermination of the Motion, without reliance upon any finding that the provisions of Code of Civil Procedure section 425.17.

2. Step

2

Below, the Court reasons
that Plaintiffs have satisfactorily alleged and evidenced the fraud elements,
except for just the damages element, which ultimately is fatal to their claims.

In support of the alleged
elements of fraud, Plaintiffs had filed several declarations about reliance
upon the representations concerning safety arrangements and Defendants'
inferred knowledge of falsity given some contradictory documentation. Based
upon that, the Court finds that Plaintiffs adequately pled and proved
circumstances inferring fraudulent intent. (Cf., e.g., *Miller v. National American Life Ins. Co.* (1976) 54 Cal.App.3d 331,
338 [“ '[B]ecause the real intent
of the parties and the facts of a fraudulent transaction are peculiarly in the
knowledge of those sought to be charged with fraud, proof indicative of fraud
may come by inference from circumstances surrounding the transaction, the
relationship, and interest of the parties.' ”].)

Further, Plaintiffs rely
upon misstatements of existing fact. (Opposition, 15:9-19.) Further, even the misrepresentations
about the future can be actionable, where made by government and private actors
conveying their specialized knowledge about the project. Generally, representations must have
been about past or existing facts, but with exceptions such as a party is held
out as possessing superior knowledge and plaintiff reasonably relies. (*Neu-Visions Sports v. Soren* (2000) 86
Cal.App.4th 303, 308. Cf. *Miles v.*
Deutsche Bank Nat'l Trust Co. (2015) 236 Cal.App.4th 394, 402-403
[misrepresentation of a future event
may form the basis of promissory fraud claim].)

And some representations
allegedly were made directly to plaintiffs. (E.g., FAC, ¶ 113.) As for
Plaintiffs learning from neighbors, it can be actionable too, where the persons
stating oral and written misrepresentations, had expected those to be repeated
to other neighbors. “[T]he defendant
will not escape liability if [she or] he makes a misrepresentation to one
person intending that it be repeated and acted upon by the plaintiff.” (*Geernaert v. Mitchell* (1995) 31
Cal.App.4th 601, 605. See also *Cadlo v.*
Owens-Illinois, Inc. (2004) 125 Cal.App.4th 513, 520 [plaintiffs who
learned of misrepresentations indirectly
still must show justifiable reliance on them].) Here it was expectable, under
the circumstances, that meeting-attending neighbors would repeat meeting

statements to nonattending neighbors sharing like concerns about the residential changes. (See, e.g., Samantha Nussbaum Declaration, filed 6/10/26, ¶ 6.)

Additionally, Plaintiffs

need not evidence every alleged misrepresentation. “[W]here a cause of action arises from both protected activity and unprotected activity, the plaintiff may satisfy its obligation in the second prong by simply showing a probability of prevailing on any part of the cause of action.” (Wallace v. McCubbin (2011) 196 Cal.App.4th 1169, 1212, disapproved on other grounds by Baral v. Schnitt (2016) 1 Cal.5th 376, 396.) Here, the FAC alleges, and declarations evidence, a variety of misrepresentations from public and private individuals, any one of which could support the claims. (E.g., FAC, ¶¶14-16, 21-22; Irene Kitamura declaration, filed 6/10/26, ¶¶ 2-3.)

Additionally, Defendants’

directly causing harm is not necessarily required. Fraud claims can be based upon, “justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 44.). But, importantly here, forbearance causing lost opportunities to take action sooner, are not alone required damages. (See, e.g., Schuster v. Gardner (2005) 127 Cal.App.4th 305, 314 [“If the effect of a misrepresentation is to induce forbearance—to induce persons not to take action—and those persons are damaged as a result, they have a cause of action for fraud or negligent misrepresentation.”]; Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 174 [“ ‘One who fraudulently makes a misrepresentation of fact, opinion, intention or law for the purpose of inducing another to act or to refrain from action in reliance upon it, is subject to liability to the other in deceit for pecuniary loss caused to him by his justifiable reliance upon the misrepresentation.’ ”].) “ ‘If the existence—and not the amount—of damages alleged in a fraud pleading is “too remote, speculative or uncertain,” then the pleading cannot state a claim for relief.’ ” (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1064 [“If the defrauded plaintiff would have suffered the alleged damage even in the absence of the fraudulent inducement, causation cannot be alleged and a fraud cause of action cannot be sustained.”].)

Here, the Court

determines that Plaintiffs’ have failed to file evidence that their, or their neighbors’, forbearance from sooner taking action has caused anything other

than what would have happened anyway. Specifically, the FAC Prayer requests relief to stop or suspend development and disbursements of public funds as to the subject property, to require expenditures accounting and restitution, and to be awarded compensatory damages. Plaintiffs fail to allege or evidence that, but for their forbearance of opposition to the development, (1) those remedies already would have been accomplished, those remedies would not have been needed, or they would not have become lost opportunities. Additionally, the several opposing declarations, filed June 10, 2026, do not address damages caused by misrepresentations inducing delayed advocacy. Indeed, they essentially just report not being able to oppose the development sooner. (See Opposition, 15:3-7.)

Finally, the Court's Order, entered on March 19, 2026, denying a Preliminary Injunction, was not based upon any impacts of Plaintiffs' delayed advocacy, but instead upon a lack of evidence of ongoing waste or illegality. Presently, Plaintiffs' do not allege or prove that delayed opposition to the project caused any inability to evidence that Motion.

IV.

CONCLUSION

Accordingly, upon reconsideration and redetermination, the Court grants the Motion to Strike, without leave to amend.